

personal business. It is equally true that many businesses fail before ever getting off the ground. The simple path allows you to collect a predictable paycheck and diversify your money across thousands of businesses with a strong track record. The active path can mean putting all your eggs in one basket with no guarantee of any income or growth.

The Hybrid Path

The third investment path commonly taken by those who *Choose FI* is real estate. Real estate is a hybrid of the other two paths.

Some aspects of real estate are similar to those of passive index investing. Stocks and bonds produce passive income in the form of dividends and interest. Real estate investing can produce regular income in the form of rent payments for landlords or interest payments for lenders. Each can be fairly passive income after applying the initial effort to select the right properties and people to work with. Stocks are investments in companies whose value tends to grow over time. Real estate values and rents tend to appreciate at, or slightly greater than, the rate of inflation. This provides passive growth of your investment. Like other passive investments, you must either have or borrow money to purchase these assets.